

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

June 21, 2020

Jason Wagner
General Manager
Martinez LLC

Dear Mr. Wagner:

This letter sets out the terms on which we will measure the obligation for retiree medical benefits provided by Martinez LLC. It records what we have been asked to do, what we will rely on to do it, the professional standards the work will be performed under, and the commercial terms that govern the arrangement. If it states your understanding as well as ours, please countersign and return one copy.

Scope of Work

We will measure the postretirement benefit obligation for medical coverage promised to retired employees and to active employees who are expected to become eligible for it, as of the measurement date to be fixed with your staff. The engagement produces three deliverables: a workbook of exhibits showing the development of the obligation and the annual expense; a written report that interprets those exhibits and states our conclusions; and the disclosure schedules your financial statements require for postretirement benefits other than pensions.

The following are within scope: reconciliation of the participant census against your records and against the prior measurement; development of per-capita claims costs by age and coverage tier from the claims or premium experience you furnish; selection of a health care cost trend assumption and a discount rate consistent with the timing of the expected benefit payments; development of the accumulated postretirement benefit obligation, the service cost, and the components of the annual expense; a reconciliation of the change in the obligation since the prior measurement, attributing that change to its sources; and the sensitivity exhibits the disclosure requires.

The following are outside scope and are available under a separate engagement: plan design studies and cost projections for contemplated changes to the benefit; calculations for individual participants; tax or legal advice of any kind, including advice on the plan's compliance with federal benefits law; any audit or examination

of your records; and any opinion addressed to a party other than Martinez LLC and its management.

Approach and Reliance

Our work relies on information you furnish: the census of covered retirees, spouses, and eligible actives; the plan document, summary plan description, and any amendments in effect at the measurement date; the claims experience or premium rates by tier; and the retiree contribution schedule, together with whatever the company has committed to about future contributions. We will review what we receive for internal consistency and for reasonableness in light of the plan's provisions, and we will reconcile it against the prior period. That review is not an audit, and we will disclose the reliance in the report as our standards require. If the data we receive are not sufficient to support a measurement, we will tell you so rather than measure around the gap.

The work will be performed in accordance with the applicable Actuarial Standards of Practice, including those governing the measurement of retiree group benefits obligations, the selection of economic and demographic assumptions, data quality, and actuarial communications. Assumptions are recommended by us and adopted by you, and the report will state plainly which assumptions are the company's and which are ours. We keep three things separate in everything we send you: what the data show, what was assumed, and what we conclude. They are not the same, and a reader who cannot tell them apart has been poorly served.

The Engagement Team

Jennifer Vasquez will be your day-to-day contact and will write the report that interprets the exhibits. Jeffrey Ochoa will lead the data and exhibit work, including the census reconciliation and the development of the per-capita claims costs; your staff will hear from him first and most often, and questions about what we have asked for are best sent to him directly. Amanda White will support the reconciliation and prepare the disclosure schedules. I will review the work and I will sign the report. The signature is mine, and so is the responsibility for what it says.

Fees and Payment

Our fee for the work described above is \$118,500, fixed for that scope. Work commences on July 1, 2020, subject to our receipt of the countersigned letter. We will invoice monthly as the work progresses, and invoices are payable thirty days from their date. Reasonable out-of-pocket expenses are billed at cost. Work outside the scope stated above will be performed only on your written request, at fees

agreed in advance in writing. If the data furnished require rework on a scale we could not reasonably have anticipated, we will raise it with you at the time rather than in a final invoice.

Term and Termination

The engagement runs from the commencement date stated above until the report and exhibits have been delivered and your questions on them answered. On the schedule we have discussed, that is roughly eight months of work, and the pace of it depends materially on when the census and claims data reach us. Either party may terminate on thirty days' written notice. On termination you will owe fees for work performed through the effective date, and we will deliver whatever portion of the work is complete enough to be delivered, with its limitations stated. Partial work carries partial conclusions, and we will not let an incomplete measurement leave this office described as anything else.

Confidentiality

We will treat the non-public information you furnish as confidential, use it only for this engagement, and disclose it only to the members of our team, to your auditors at your direction, or where disclosure is required by law, by regulation, or by the professional standards under which we practice. Retiree medical work involves individually identifiable health information, and we will handle it accordingly; if your counsel determines that a business associate agreement is required for the data we have requested, we will execute one before the extract is transmitted. We retain working papers in accordance with our record retention practice and our professional obligations.

Limitation of Liability

The report and exhibits are prepared for Martinez LLC and its management, for the purposes stated in this letter, and are not intended for reliance by any other party. Our aggregate liability arising from this engagement is limited to the fees paid under it, except in the case of willful misconduct or where such a limitation is not permitted by law, and neither party is liable to the other for consequential or indirect damages. One point deserves stating plainly rather than burying in this paragraph: our conclusions depend on the data you furnish and the assumptions you adopt, and actual experience will differ from what those assumptions project. That difference is expected. It is not, by itself, evidence that the measurement was wrong.

Governing Law

This engagement is governed by the laws of the state in which our principal office is located, without regard to its conflict of laws provisions. Should a dispute arise under this letter, the parties will attempt to resolve it in good faith between themselves, and failing that will submit it to mediation before either commences litigation.

Please indicate your agreement by signing below and returning one executed copy to our office. We are glad to be doing this work for Martinez LLC, and we will be ready to receive the census extract as soon as the letter is back. If any of these terms want discussing, call me before you sign rather than after.

Robert Lawrence

Managing Actuary

Date: June 21, 2020

Jason Wagner

General Manager, Martinez LLC

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